

RegIntel — Compliance Gap Report

Audit of NT1358FC1863A3767437E88945CA1BD6F98A3.pdf (RBI)

Generated: 26 June 2026, 07:35

Total gaps detected: **42**

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
1	Critical	90.0	RBI	—	A bank which is not in conformity with the directions given in the paragraph 18 above, shall not undertake any new business in the respective segment from April 1, 2026.	from April 1, 2026	Update compliance monitoring calendar and set alert thresholds before the stated deadline. Target compliance window: from April 1, 2026.
2	Critical	90.0	RBI	—	A bank which is not in conformity with the directions given in paragraphs 22 to 29A and 38A to 38E above, shall submit an action plan by March 31, 2026, to comply with the provisions contained herein within a specified timeline but not later than March 31, 2028.	by March 31, 2026	Update compliance monitoring calendar and set alert thresholds before the stated deadline. Target compliance window: by March 31, 2026.
3	Critical	87.0	RBI	—	Equity investment by a bank in any entity, including its group entity, individually, shall not exceed 10 per cent of the bank's paid-up share capital and reserves	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
4	Critical	87.0	RBI	—	The aggregate equity investments made in all entities, including group entities and overseas investments, shall not exceed 20 per cent of the bank's paid-up share capital and reserves	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
5	Critical	87.0	RBI	—	The bank's CRAR shall not be less than the minimum prescribed capital (including Capital Conservation Buffer) post the investment	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
6	Critical	87.0	RBI	—	The bank should have reported net profit in each of the preceding two financial years	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
7	Critical	87.0	RBI	—	Further, the aggregate shareholding of a bank group in any ARC shall be less than 20 per cent of the equity share capital of the ARC	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
8	Critical	87.0	RBI	—	A bank shall not individually contribute more than 10 percent of the corpus of a Category I or Category II AIF Scheme.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
9	Critical	87.0	RBI	—	No bank shall make an investment of more than 10 per cent in the unit capital of a Real Estate Investment Trust/Infrastructure Investment Trust within the overall ceiling of 20 per cent of the bank's net worth permitted for all direct investments in shares, convertible bonds/ debentures, units of equity-oriented mutual funds and exposures to AIFs.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.

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10	Critical	87.0	RBI	—	As part of bank's ICAAP framework, the following shall be accounted for the purpose of determining additional capital requirement which will be subject to Supervisory Review and Evaluation Process: (1) risks arising on account of equity investments in unit/paid-up capital, as applicable, of an AIF Scheme done directly or through their group entities. (2) group-wide capital and risk management policy with respect to the capital requirement and the risks faced by their group entities.	—	Update capital adequacy, liquidity buffers, and assets ratio calculations/procedures.
11	Critical	85.0	RBI	—	It shall also submit a compliance status in this regard by March 31, 2026.	by March 31, 2026	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: by March 31, 2026.
12	Critical	80.0	RBI	—	The action plan shall be submitted within 30 days of such acquisition	within 30 days of such acquisition	Update compliance monitoring calendar and set alert thresholds before the stated deadline. Target compliance window: within 30 days of such acquisition.
13	Critical	75.0	RBI	—	The NOFHC shall intimate the Reserve Bank within 15 days from the date of resolution of the Board for undertaking such businesses.	within 15 days from the date of resolution of the Board	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within 15 days from the date of resolution of the Board.
14	Critical	75.0	RBI	—	Breach, if any, in the limits prescribed under this Master Direction shall be reported to the Department of Regulation of the Reserve Bank on PRAVAAH portal through the applicable form within 15 days, from the date of occurrence of such breach along with reason for such a breach and a plan to correct the same.	within 15 days, from the date of occurrence of such breach	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator. Target compliance window: within 15 days, from the date of occurrence of such breach.
15	High	72.0	RBI	—	Banks shall not require prior approval for such acquisitions; however, they shall submit a time bound action plan for disposal of such shares	—	Establish automated or manual data queries, review cycles, and submission templates to send reports to the regulator.
16	High	62.0	RBI	—	Under agency business arrangement, the bank and the group entity shall enter into an agreement with a TPPSP for sale of only regulated financial products or services.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
17	High	62.0	RBI	—	Under referral arrangement, the bank shall neither be involved in any of the processes relating to the third-party products or services (TPPS) nor the name or brand of the bank shall feature in any of the product/service documents.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
18	High	62.0	RBI	—	No processes relating to TPPS shall either be integrated with the bank's platform/carried out within the premises of the bank (unless specifically permitted) or be accessible in the form of a micro-site or micro-application, except for an access link to redirect the customer to the TPPSP.	—	Amend Board and committee charter documents, appoint process owners, and update management training.

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
19	High	62.0	RBI	—	The business of banking as defined in section 5(b) of Banking Regulation Act, 1949 shall be undertaken only departmentally.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
20	High	62.0	RBI	—	Acceptance of time deposits shall be undertaken only departmentally by the bank, and if permitted, through a housing finance company in the bank group.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
21	High	62.0	RBI	—	if a bank undertakes a form of business through more than one entity in a bank group, the same shall be done with proper rationale... duly recorded and approved by the Board of the bank.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
22	High	62.0	RBI	—	Mutual fund business, insurance business, pension fund management... shall not be carried out departmentally, but, only through a group entity.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
23	High	62.0	RBI	—	A bank shall require prior approval of the Reserve Bank to undertake any new form of business through the bank or a group entity, other than those permitted in these directions.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
24	High	62.0	RBI	—	There shall be a policy for each form of business undertaken by the bank, which comprehensively covers various aspects of the said business including identification of various risks associated with it	—	Amend Board and committee charter documents, appoint process owners, and update management training.
25	High	62.0	RBI	—	an NOFHC shall require the prior approval of the Reserve Bank for the entities held by it to undertake any other form of business subject to other instructions as applicable.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
26	High	62.0	RBI	—	a bank shall obtain no-objection from the Reserve Bank for any of its overseas branches... to undertake any business for which prior approval is required by the parent bank in India	—	Amend Board and committee charter documents, appoint process owners, and update management training.
27	High	62.0	RBI	—	a bank shall ensure that its overseas branches... adhere to the more stringent of the host or home country regulations for the purpose of this Master Direction.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
28	High	62.0	RBI	—	Banks shall be allowed to set up subsidiaries only for undertaking activities as permitted under Section 19(1) of the Banking Regulation Act, 1949	—	Amend Board and committee charter documents, appoint process owners, and update management training.
29	High	62.0	RBI	—	Further, banks shall require prior approval for making additional investment in the equity share capital of any group entity	—	Amend Board and committee charter documents, appoint process owners, and update management training.
30	High	62.0	RBI	—	A bank shall not sponsor (as defined in the Securitisation and Reconstruction of Financial Assets and Enforcement of Security Interest Act, 2002) more than one Asset Reconstruction Company (ARC)	—	Amend Board and committee charter documents, appoint process owners, and update management training.

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
31	High	62.0	RBI	—	Additionally, banks shall ensure that their exposure in an investee company through their investments in AIF schemes does not result in circumvention of any regulations applicable to banks.	—	Amend Board and committee charter documents, appoint process owners, and update management training.
32	Medium	52.0	RBI	—	Paragraph 18(4) of these directions shall apply to all Non-Banking Financial Companies (including Housing Finance Companies) which are group entities of a bank operating in India	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
33	Medium	52.0	RBI	—	Regulations as applicable to Upper Layer NBFC other than the requirement for listing... shall be applicable to such a group entity (NBFCs including HFCs).	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
34	Medium	52.0	RBI	—	listing requirement shall be complied with by those NBFC group entities which are identified by the Reserve Bank as Upper Layer.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
35	Medium	52.0	RBI	—	stipulations/restrictions under Reserve Bank of India (Commercial Banks – Credit Risk Management) Directions, 2025... shall apply mutatis-mutandis to all the fresh/renewal and additional loans/limits sanctioned/dispensed by the NBFC group entities	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
36	Medium	52.0	RBI	—	Banks held under the NOFHC structure shall adhere to Guidelines for Licensing of New Banks in the Private Sector dated February 22, 2013, for their investments in the equity share capital of a company.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
37	Medium	52.0	RBI	—	A bank group may make an investment of less than 20 per cent in the corpus of Category I or Category II AIF scheme, without prior approval subject to conditions stipulated under paragraph 25 above.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
38	Medium	52.0	RBI	—	A bank group may make an investment of 20 per cent or more but not exceeding 30% in the corpus of Category I or II AIF scheme, with prior approval of the Reserve Bank.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
39	Medium	52.0	RBI	—	No bank shall make any investment in the corpus of Category III AIF scheme.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
40	Medium	52.0	RBI	—	Investment by a bank's subsidiary in the corpus of Category III AIF scheme shall also be restricted to the regulatory minima prescribed by the Securities and Exchange Board of India.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.
41	Medium	52.0	RBI	—	Banks shall offer portfolio management service (PMS) or similar scheme only through a group entity subject to prior approval of the Reserve Bank.	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.

#	Risk	Score	Regulator	Circular	Obligation Clause	Deadline	Recommended Remediation Action
42	Medium	52.0	RBI	—	No bank shall offer broking services for the commodity derivatives segment of SEBI recognised stock exchanges except through a separate subsidiary, subject to the following conditions:	—	Review internal SOPs, train operational staff, and update policy handbook to cover this obligation.